Amazingly, those same money managers are the first to urge their clients to remain calm when things start to look shaky. They send out reassuring letters lauding the virtue of staying the course. So why don't they practice what they preach?

It is especially easy to observe this contradiction in the handling of mutual funds because their actions are so thoroughly documented and scrutinized by the financial press. Because so much information is available, and because mutual funds are so familiar and well understood, I believe we can learn a great deal about the folly of a price-based measure by looking at how it works in mutual funds.

The financial writer Joseph Nocera has pointed out the inconsistencies between what mutual fund managers recommend shareholders do—namely, "buy and hold"—and what managers actually do with their own portfolios—namely, buy-sell, buy-sell, buy-sell. Reinforcing his own observations of this double standard, Nocera quoted Morningstar's Don Phillips: "There is huge disconnect between what the fund industry does and what it tells investors to do."[42]

The obvious question becomes: If investors are counseled to buy and hold, why do managers frenetically buy and sell stocks each year? The answer, says Nocera, "is that the internal dynamics of the fund industry make it almost impossible for fund managers to look beyond the short term."[43] Why? Because the business of mutual funds has turned into a senseless short-term game of who has the best performance, measured totally by price.

Today, there is substantial pressure on portfolio managers to generate eye-catching short-term performance numbers. These numbers attract a lot of attention. Every three months, leading publications such as the *Wall Street Journal* and *Barron's* publish quarterly performance rankings of mutual funds. The funds that have done the best in the past three months move to the top of the list, are praised by financial commentators on television and in newspapers, rush to put out self-congratulatory advertising and promotional pieces, and attract a flurry of new deposits. Investors, who have been waiting to see which fund manager has the so-called hot hand, pounce on these rankings. Indeed, quarterly performance rankings are